BUDGETING IN LIBRARY AND INFORMATION CENTERS

Budgeting is the process of planning, estimating, and controlling how money will be used over a specific period. It involves deciding how much money is needed, what it will be spent on, and how to allocate available funds to different activities or needs. In simple terms, budgeting means creating a financial plan that guides spending so that resources are used wisely and goals can be achieved without waste or overspending.

Budgeting in Library and Information Centres refers to the careful and organised process of planning how money will be obtained, shared, and spent to keep the library running effectively. It is like a roadmap that guides how the library uses its financial resources to support all its services. Budgeting helps the library decide its needs, how much those needs will cost, and how the available money can be distributed without waste. Because libraries work with limited funds and have many responsibilities such as acquiring books, maintaining ICT facilities, subscribing to databases, training staff, and organising user programmes, the budget becomes an essential tool for making smart financial decisions. For a library, budgeting is not just about spending money. It is also about forecasting future needs, setting priorities, controlling expenditures, and ensuring that every naira spent contributes to better service delivery.

IMPORTANCE OF LIBRARY BUDGETING

1. Ensures Effective Resource Allocation

Library resources such as money, staff, time, and materials are always limited. Budgeting helps the library decide which needs are most important and how to share funds among different activities such as book acquisition, ICT maintenance, staff development, and serials subscription. By allocating money wisely, the library avoids waste and ensures that essential services receive the right amount of funding to function smoothly.

2. Supports Strategic Planning

A well-prepared budget helps the library plan for the future. It connects financial decisions with long-term goals, such as digitising collections, upgrading technology, or expanding user programmes. Budgeting forces the library to think ahead, set priorities, and plan projects in a way that ensures financial sustainability. Without strategic budgeting, libraries may struggle to achieve their developmental goals.

3. Promotes Accountability and Transparency

Budgeting provides a clear record of how money enters and leaves the library. This makes it easier to justify spending to management, government agencies, donors, or stakeholders. When the library presents an accurate budget, it shows that funds are being used responsibly. This builds trust and ensures the library remains transparent in its financial dealings—an essential requirement in public institutions.

4. Improves Financial Control

A budget acts as a control tool that helps library administrators monitor actual spending compared to planned spending. If money is being overspent, the budget alerts management so corrective measures can be taken immediately. Likewise, if less money is spent than expected, the library can reallocate funds to other important areas. This ensures financial discipline and helps prevent misuse of funds.

5. Enhances Service Delivery

When a library has a good budget, it can consistently provide quality services to its users. Adequate funding ensures the regular purchase of books, journals, databases, and equipment. It also supports staff training, maintenance of facilities, and organisation of user education programmes. Overall, budgeting enables the library to function smoothly and meet the information needs of its users effectively.

TYPES OF BUDGET USE IN THE LIBRARY

1. Line-Item Budget

A line-item budget lists all library expenses under specific, clearly labeled headings such as salaries, books, journals, equipment, maintenance, ICT, and utilities. Each item has its own financial allocation. This type of budget is very common in government and academic libraries because it is simple, easy to prepare, and straightforward to monitor. It also allows management to easily compare spending across different categories. However, the library must stick strictly to the listed items unless approval is given to adjust funds.

2. Programme/Performance Budget

In this type of budget, money is allocated based on the activities or programmes the library wants to carry out. Examples include information literacy programmes, outreach activities, indexing and abstracting services, children's library services, or digitisation projects. Instead of focusing only on items, this budget focuses on what the library *wants to achieve*. It helps link financial spending with results or outcomes. Libraries that want to demonstrate impact or evaluate programme performance often prefer this approach.

3. Zero-Based Budget (ZBB)

Zero-based budgeting requires the library to justify every single expenditure from the beginning ("zero") every budget cycle. Unlike the incremental method, nothing is assumed or carried forward from previous years. The library must defend every item, explain why it is needed, and estimate its cost afresh. This method is useful when funds are limited or when management wants to control waste. However, it requires more time, effort, and strong analytical skills from library managers.

4. Incremental Budget

This is the simplest and most commonly used budgeting approach. The library begins with the previous year's budget and adds (increments) or subtracts (decrements) amounts based on current needs and inflation. Because it uses past spending as a guide, it is easy to prepare and does not require starting from scratch. However, it may hide inefficiencies because unnecessary items may continue to receive funding simply because they were funded last year.

5. Capital Budget

A capital budget deals with long-term or major investments that require significant funds. These include building new library structures, renovating facilities, purchasing vehicles, installing automation systems, acquiring big ICT equipment, or launching digital libraries. Since these projects are expensive and not part of daily operations, capital budgets are usually planned carefully and approved at higher institutional levels. This budget helps the library grow and modernise.

6. Operating (Recurrent) Budget

This budget covers the everyday running expenses of the library. These include staff salaries, purchase of new books and journals, daily office supplies, utilities, database subscription renewals, internet services, and minor repairs. The operating budget ensures that library services continue smoothly without interruption. It is the most frequently used budget in day-to-day administration and must be monitored carefully since it covers essential functions.

STEPS INVOLVED IN LIBRARY BUDGET

1. Needs Assessment

This is the first and most important step. The library identifies everything it requires for t he coming year such as new books, journals, computers, furniture, training programmes, repairs, and digital resources. At this stage, librarians gather information from users, staf f, and circulation records to understand what materials or services are lacking. Without a proper needs assessment, the budget may not reflect the library's real priorities.

2. Setting Priorities

Because funds are always limited, the library cannot meet all needs at once. Therefore, managers must rank the identified needs based on importance and urgency. Essential se rvices like database subscriptions or staff salaries may come first, while less urgent nee ds may wait. Setting priorities ensures that available money is directed to the most critic al areas that support effective service delivery.

3. Estimating Costs

After prioritising needs, the library calculates how much each item or activity will cost. T his involves sourcing price quotations, checking vendor catalogues, reviewing past expe nditure records, and estimating future price changes. Cost estimation helps prevent gues swork and ensures the budget is realistic. Libraries must consider inflation, exchange rat es (for imported materials), and maintenance costs.

4. Drafting the Budget

Now the library compiles all cost estimates and creates the actual budget document. This draft clearly shows the expected revenue (money coming in) and the proposed expenditures (money going out). The budget is organised in a structured format such as a line-item, programme, or incremental layout. The draft must be clear, detailed, and professionally presented so that it can be easily reviewed by management.

5. Budget Review and Approval

The draft budget is submitted to the library management or parent institution, such as a university management board, ministry, or governing council for examination and verification. Reviewers check whether the proposed expenses are reasonable, aligned with institutional goals, and affordable. They may amend figures or request clarifications. Approval is granted only after the budget is judged to be realistic and justified. Without approval, the budget cannot be implemented.

6. Implementation

Once approved, funds are released gradually or based on need. The library then begins spending money according to the approved budget plan. Implementation involves purchasing materials, paying salaries, renewing subscriptions, repairing facilities, and funding programmes. Proper record-keeping is essential here to ensure that money is used exactly as planned.

7. Monitoring and Control

During the year, the library compares what it has spent with what was budgeted. This helps identify overspending, underspending, or misuse of funds. When discrepancies occur,

corrective actions are taken immediately. Monitoring ensures financial discipline, prevent s waste, and allows the library to stay within its financial limits.